**PRIME MINISTER'S OFFICE**

**REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT**

**ARUSHA REGION**

**FORM TWO - MOCK EXAMINATION**

**062** **BOOK KEEPING**

**TIME :2:30 HOURS** **MARCH 2026**

**INSTRUCTIONS**

- This paper consists of sections A, B and C with total of Nine (09) questions.
- Answer all questions
- Section A carries fifteen (15) marks, section B forty (40) marks and section C carries forty-five (45) marks
- All writings must be in blue or black ink
- Non programmable calculators may be used.
- Communications devices and any unauthorized material are not allowed in the assessment room
- Write your Assessment Number at the top right-hand corner of every page.

| NO. | SCORE | SIGNATURE |
|---|---|---|
| 1. | | |
| 2. | | |
| 3. | | |
| 4. | | |
| 5. | | |
| 6. | | |
| 7. | | |
| 8. | | |
| 9. | | |
| 10. | | |
| TOTAL | | |
| CHECKER'S SIGN | | |

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## SECTION A (15 MARKS)

1. For each of the items (i-x) choose the correct answer from among the given alternatives and write its letter in the box provided

   i. The following items can be shown in the Trial balance, except
      A. Value of opening stock
      B. Value of closing stock
      C. Value of loan from a relative
      D. Value of loan from bank

   ii. Mpinga started business Woth TZS 160,000,000/= in cash. What would be the double entry for recording this transaction?
      A. Dr. cash account, Cr cash account
      B. Dr. capital account, Cr cash account
      C. Dr. cash account, Cr. capital account
      D. Dr.Mpinga account, Cr. cash account

   iii. Which one plays the role the of a ledger account and book of original entry?
      A. Sales journal
      B. Purchases journal
      C. General journal
      D. Cash book

   iv. John sold goods for Tzs 250,000/= allowing Tzs 42,000/= cash discount. How much will be received from the customer?
      A. TZS 309,000/=
      B. TZS 208,000/=
      C. TZS 42,000/=
      D. TZS 292,000/=

   v. The book of original entry used to record motor van Rav 4 bought on credit for TZS 28,000,000/=
      A. Purchases journal
      B. Sales journal
      C. Returns inwards journal
      D. Returns outwards journal

   vi. Which account balances would appear on the debit side column of the trial balance?
      A. Rent received
      B. Account payable
      C. Accounts Receivable
      D. Rent income

   vii. The following are reasons why the bank statement balance may differ from the cash book balance except.
      A. Bank charges
      B. Direct transfer

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C. Standing orders
D. Overdraft

viii. Under which classification of account can furniture be categorized
A. Real account
B. Nominal account
C. Personal account
D. Impersonal account

ix. One of the following statements is not correct
A. Assets - Liabilities =Capital
B. Liabilities + Assets = Capital
C. Assets – Capital = Liabilities
D. Liabilities + Capital = Assets

x. The transfer of goods or services from person to another is called;
A. Transaction
B. Cash transaction
C. Credit transaction
D. Bank and Cash

| i | ii | iii | iv | v | vi | vii | viii | ix | x |
|---|---|---|---|---|---|---|---|---|---|
| | | | | | | | | | |

2. For each of the items (i-v) match the explanation of reasons for inconsistencies of cash book and bank balances in List A with their coresponding in List B by writing the letter of the correct response below the item number in number in the table provided.

| LIST A | LIST B |
|---|---|
| i. Cheques that the payee has not yet presented to the bank.<br>ii. Cheque that a bank refuses to pay for various reasons.<br>iii. Cheque that the business has received and deposited into the bank, but the bank has not yet competed clearing the cheque with the drawers bank.<br>iv. Regular automatic payments authorised from the bank account<br>v. Payment received directly onto the bank account. | A. Uncredited cheque<br>B. Credit transfers<br>C. Dividends<br>D. Bank charges<br>E. Unpresented cheque<br>F. Dishonoured cheque<br>G. Standing order<br>H. Honoured cheque |

| LIST A | i | ii | iii | iv | v |
|---|---|---|---|---|---|
| LIST B | | | | | |

**SECTION B (40 MARKS)**
**Answer all questions in this section**

3. Accounting process or accounting cycle is the process that business undertake to prepare financed statements from accounting records. As form two student write down eight (8) stages of accounting cycle in chronological order.

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4. In your school, the form two students in academic year 2026 are not much competent in the principle of Book – keeping records. As form two student competent help them by using transactions indicated in the table below.

| S/N | Transactions | Account to be Debited | Account to be Credited |
|---|---|---|---|
| i. | Amount received from debtor by cheque. | | |
| ii. | Purchases a motorcar TZS 25,000,000/= on credit | | |
| iii. | Sales of furniture for cash | | |
| iv. | Goods sold for cash | | |
| v. | A proprietor invested amount of cash in a business. | | |

5. On 1st February 2026, Mr Malengo started a business with a capital TZS 7,200,000 in Bank account and proceeded as follows during the month.

| DATE | DEATAILS | TZS |
|---|---|---|
| 1.2.2026 | Paid rent by cheque | 480,000 |
| 3.2.2026 | Bought a computer for use in the business by cheque. | 1,080,000 |
| 4.2.2026 | Purchased by goods by cheque | 6,720,000 |
| 6.2.2026 | Purchased goods on credit from Bamba | 4,836,000 |
| 9.2.2026 | Sold goods on credit to Mokiwa | 4,800,000 |
| 12.2.2026 | Issued a cheque to Bamba | 4,836,000 |
| 15.2.2026 | Sold goods by cheque | 6,840,000 |
| 17.2.2026 | Received a cheque from Mokiwa | 4,800,000 |
| 20.2.2026 | Paid wages by cheque | 1,500,000 |
| 23.2.2026 | Sold goods on credit to Mutabuzi | 1,850,000 |
| 25.2.2026 | Paid insurance by cheque | 300,000 |
| 26.2.2026 | Paid electricity bills by cheque. | 625,000 |
| 28.2.2026 | Sold goods by cheque | 4,500,000 |
| 28.2.2026 | Received a cheque from Mutabuzi | 1,850,000 |

Required;
Record the transactions in the Bank account of Mr. Malengo and balance off the account as at 28th February 2026

6. Source documents have a lot of benefits, because act as initial documents information for transactions to be recorded in the books of Prime entry. Mention at least seven (07) Sources documents used in Book-keeping.

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## SECTION C (45 MARKS)

**Answer all questions in this section.**

7. Dotto is a sole trader at Mazengo in Dalome, the trader has limited skills in recording credit sales in the books of prime entry. The following are his credit sales for the month of January 2026

**January 1**. Sold to Bondeni secondary school.

15boxes of continental chalks @TZS 32,000/=
4Red pens boxes @TZS 7,500/=
12 Blue pens boxes @TZS 5,500/=
100 Manila cards @TZS 2,000/=
2 piece of Epson black ink no. 664 @32,000/=

**January 5.** Sold to Majengo Traders
15 dozens of Blue band @ TZS 6,000/= per dozen
5 dozens of school shoes @ TZS 30,000/= per piece

January 15. Sold to Mr. Maneno Traders
30kg of Magugu rice @ 2,900/= per Kg
15kg of Azam sugar @ Tzs 2,500/= per kg
30 dozens of Msomi exercises books at TZS 700/= per exercise
1 dozen of school T-shirts at TZS 25,000/= per T-shirt

**Required;**

Assist Dotto to enter transactions for January 2026 in sales Journal and post entries to the relevant subsidiary ledger and general ledger.

8. Zuu is a sole proprietor with the following details of transactions for the month of September,2025
1.09.2025. Balance brought forward for cash Tzs 4,600 and Bank TZS 9,300
3.9.2025. Bought goods for cheque TZS 2,800
5.9.2025 Cash sales to date TZS 4,400
8.9.2025. Banked……Tzs 2,500
10.9.2025. Paid by cheque the following and receiving a cash discount of 5% on each case.
John……TZS 4,000
Jacob……...TZS 3,000
Jackson …….. TZS 1,400
12.9.2025. Received cheque from the following allowing a cash discount of 3% on each case.
Sara……TZS 4,000
Sauna……. TZS 3,000
Subira…….TZS 2,000
14.9.2025. Bought furniture by cheque TZS 2,900
16.9.2025. Cash drawing ……TZS 1,000
18.9.2025. Cash sales paid direct to the bank 3,500.
22.9.2025. Paid salary by cash ……1,500
25.9.2025. Cashed cheque …….. 1,800
26.9.2025. Paid Salum by cash less 4% discount 2,000
28.9.2025. Received cash from Samwel, less 4% discount……..TZS 2,500
30.9.2025. Paid wages in cash ……TZS 1,300
Required;
Prepare a three-column cash book and balance it off.

9. The following balances were extracted from the books of Pipino for the year ended 31st December 2025

| Detail | TZS |
|---|---|
| Sales | 254,868,000 |
| Purchases | 126,248,100 |

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| | |
|---|---|
| Sales returns | 1,031,800 |
| Opening inventory | 27,872,000 |
| Purchases returns | 2,284,700 |
| Carriage inwards | 2,479,000 |
| Closing inventory | 30,002,600 |
| Salaries and wages | 41,138,000 |
| Warehouse rent | 2,479,000 |
| Carriage outwards | 1,407,000 |
| Insurance | 908,520 |
| Motor expenses | 1,555,740 |
| Lighting ands heating | 598,980 |
| General expenses | 164,150 |
| Accounts receivable | 28,515,200 |
| Motor vehicle | 8,978,000 |
| Premises | 61,640,000 |
| Cash at Bank | 3,421,020 |
| Accounts payable | 13,615,100 |

Use information's above prepare Pipino Income statement for the year ended 31st December 2025.

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